Spencer - PacificAir

UConsulting

01 PacificAir

FRESHMEN | FINAL ROUND | DIFFICULTY: MEDIUM

PROMPT

Our client, **PacificAir**, is a mid-sized **U.S. airline** that primarily operates domestic routes along the West Coast. The airline has built a strong reputation for reliable service and competitive pricing, but **growth** in its **existing markets has begun to slow**.

To support long-term growth, PacificAir is considering launching a **new nonstop route** between **San Francisco and Honolulu**. The route is attractive due to strong leisure demand and high average ticket prices, but it would also place PacificAir into a highly **competitive market** and require longer flight operations than its existing routes.

PacificAir leadership has asked you to evaluate this opportunity and determine whether the airline **should enter this market**.

BEHAVIORALS

Tell me about a time you faced a conflict in a team.

What interests you about a career in consulting?

What is something you're passionate about?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

The SFO–Honolulu route is primarily leisure-driven, with higher demand during summer and holiday periods.
The market is highly competitive, served by both legacy and low-cost airlines.
PacificAir would operate 2 daily nonstop flights (in each direction - for a total of 4 flights) using its existing narrow-body fleet.
Ticket prices on this route are higher than PacificAir's current routes, but operating costs per flight are also higher.

FRAMEWORK

How should PacificAir assess entering this market?

Market

- **Market size:** Total passenger volume on the route, average ticket prices
- **Demand trends:** Leisure travel growth, seasonality (summer/holidays), post-pandemic travel behavior
- **Competitive landscape:** Legacy vs low-cost carriers, frequency of flights, pricing intensity

PacificAir

- **Network fit:** Operates short- and mid-haul West Coast routes; SFO–HNL would be PacificAir's longest nonstop route
- **Customer fit:** Target leisure travelers, price sensitivity, preference for nonstop flights
- **Capabilities:** Existing fleet suitability, operational experience on longer routes

Profitability

- **Revenue drivers:** Ticket pricing, load factors, ancillary revenue (bags, seat upgrades)
- **Cost drivers:** Fuel costs, crew costs, aircraft utilization, airport fees
- **Initial investment:** Route launch costs (marketing, regulatory approvals) and one-time operational setup (training, scheduling, systems).

Risks

- Fuel price volatility
- High price competition and fare wars
- Demand seasonality and load factor variability
- Operational complexity from longer flight distances
- Ramp-up losses during route launch
- Limited brand recognition outside core markets

Metric	Value
Flights per day (each way)	2
Seats per plane	180
Load factor (% of seats occupied)	60%
Cost per flight	$40,000
Days per year	365

EXHIBIT

Candidate must ask for avg ticket price → $300

Based on this information, would this route be profitable for PacificAir? Please calculate the annual profit/loss.

Passengers per flight
180×60%=108

Revenue per flight
108×$300=$32,400

Profit per flight
32,400−40,000=−$7,600

Annual impact
Flights per year:
4×365=1460

Annual loss:
1460,600≈$11M loss/year

Candidate should recognize that increasing the load factor is important for creating profitability.

Follow up:
At what load factor would this route break even?

40,000÷300≈134 passengers
134÷180≈74% load factor

Brainstorming #1

What are ways PacificAir could increase load factor on this route?

Acquire New Customer Segments

- Target budget-conscious leisure travelers new to PacificAir
- Attract group travel (families, weddings, tour groups)
- Partner with corporations for employee leisure travel programs

Optimize Schedule

- Adjust flight times to match peak leisure demand
- Reduce frequency to concentrate demand per flight
- Align service days with seasonal travel patterns

Adjust Pricing

- Off-peak and advance-purchase discounts
- Dynamic pricing to fill last-minute seats
- Bundled fares with baggage or seat upgrades

Retention and Loyalty

- Loyalty program incentives for frequent flyers
- Targeted marketing to existing West Coast customers
- Credit card or rewards partnerships

Acquisition Channel	Cost per Booking	% of Travelers Reached	Customer Loyalty
PacificAir Loyalty Emails	$1	15%	High (Brand fans)
Travel Sites (Expedia)	$15	90%	Low (Price shoppers)
Social Media Ads	$30	30%	Medium
Corporate Partnerships	$40	15%	Very High

Brainstorming #2 (more challenging)

PacificAir can only prioritize two acquisition channels*

Based on this table, which acquisition channels should PacificAir prioritize to increase load factor in the most cost-effective way, and why?

Recommendation

- Prioritize PacificAir loyalty emails first, then travel sites (e.g., Expedia) to fill remaining seats.

Reasoning

- **Loyalty Emails**
  - Lowest cost per booking ($1) → highest ROI
  - High customer loyalty → higher likelihood of conversion
  - Efficient way to fill baseline demand quickly
- **Travel Sites**
  - Highest reach (90% of SFO leisure travelers)
  - Enables PacificAir to access incremental volume beyond its existing customer base
  - Acceptable cost per booking relative to scale

Why Not the Other Channels

- **Social Media Ads**
  - Higher cost ($30) with limited reach
  - Medium loyalty does not justify expense
- **Corporate Partnerships**
  - Very high loyalty but too expensive ($40) and low reach
  - Not scalable for filling large numbers of seats quickly

Final Recommendation

Can also say don't enter if they have rationale

Final Recommendation "CEO of PacificAir is here, what is your recommendation for them?"

- PacificAir should **cautiously enter** the SFO–Honolulu market, focusing on quickly increasing load factor to reach the **74% breakeven point**. The route is currently unprofitable, losing $7,600 per flight at a 60% load factor. To efficiently fill remaining seats, PacificAir should prioritize the most cost-effective acquisition channels, using **loyalty emails** to convert existing customers at low cost and **travel sites** to capture broader leisure demand at scale, rather than relying on higher-cost channels with limited reach.

Potential Risks

- **Demand risk:** Leisure demand may fluctuate seasonally, making it harder to consistently fill seats..
- **Competitive pressure:** Competitors may respond with aggressive pricing on travel sites, limiting PacificAir's ability to increase load factor cost-effectively.
- **Execution risk:** PacificAir may struggle to increase customers quickly enough to reach breakeven load %..

Next Steps

- Prioritize loyalty emails to efficiently fill baseline demand.
- Use travel sites selectively to capture incremental leisure volume.
- Track load factor and acquisition cost and reassess once breakeven is approached.

Anushka -Bonnie’s Furniture

UConsulting

01 Bonnie's Furniture

FRESHMEN | FINAL ROUND | DIFFICULTY: MEDIUM

PROMPT

Our client, **Bonnie's Furniture,** is based in Los Angeles, and is a furniture chain with 3 locations in the US. They have been established for 10 years, but have noticed their profits declining in the past 2 years.

Bonnie, owner of Bonnie's Furniture, was considering building another location in Santa Monica to remediate the situation. However, a close competitor, Clyde's Couches out-bid Bonnie for the location. Bonnie is now wondering how to fix the issue. She wants to understand the **cause of her unprofitability and what to do to increase her gross margin to 10% in the next year.**

BEHAVIORALS

Tell me about a time you faced a conflict in a team.

What interests you about a career in consulting?

What is something you're passionate about?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- Bonnie's Furniture is only based in the US, and only **retail (** no online purchasing)
- They offer middle class furniture- not super expensive, but not super cheap
- Their closest competitor is Clyde's Couches

FRAMEWORK

What is the cause of Bonnie's unprofitability and how should she address it?

Revenue

- **Volume Factors;** foot traffic trends, customer retention rate, optimizing bundles + furniture sets, differentiating products
- **Price Factors;** high margin vs low margin products, markup options (ex. customization), promotions + sale opportunities

Costs

- **Fixed;** store leasing + owning, warehousing for inventory, SG&A inefficiency, salary for management
- **Variable;** COGS (raw materials for furniture), logistics costs, returns, customer service, marketing

Strategies to Improve

- **Optimize product mix;** offer product bundles and optimize product mix for higher margin products + LA trends
- **Pricing;** flexible payment plans to accommodate more people
- **Cost efficiency;** reduce overhead, negotiate with suppliers
- **Expand channels** ; look into online distribution

03 Bonnie's Furniture

Show exhibit on the next slide to candidate.

DO NOT SHOW; ANSWERS ARE HERE. Approximations are OKAY as long as logical.
Calculate the gross margin per product, and the gross margin for each company.

Gross Margin formula = (Rev - COGS) / Rev *100%

<u>Bonnie's Furniture</u>

Per item
- Sofa: (1.8 - 1.6) / 1.8 = 11.1%
- Table: (1.5 - 1.2) / 1.5 = 20%
- Mattress: (1 - 1.6) / 1 = -60%

Per Company
- Rev = 1.8 + 1.5 + 1 = 4.3
- COGS = 1.6 + 1.2 + 1.6= 4.4
- Gross Margin = (4.3 - 4.4) / 4.3 = -2.3%

<u>Clyde's Couches</u>

Per item
- Sofa: (3-1.8)/ 3 = 40%
- Table: (2.2 - 0.8) / 2.2 = 63.3%
- Mattress: N/A

Per Company
- Rev = 3+2.2 = 5.2
- COGS = 1.8 + 0.8 = 2.6
- Gross Margin = (5.2-2.6) / 5.2 = 50%

Candidate should contextualize- mention to cut out mattress since low margin product.

03 Bonnie's Furniture

Calculate the gross margin per product, and the gross margin for each company.

All in millions ($)	Bonnie's Furniture Revenue	Bonnie's Furniture COGS	Clyde's Couches Revenue	Clyde's Couches COGS
Sofa	1.8	1.6	3	1.8
Table	1.5	1.2	2.2	0.8
Mattress	1	1.6	n/a	n/a

BRAINSTORM

What are some ways that Bonnie's furniture can increase customer retention?

Product Optimization

- Designs that align with local trends and customer preferences
- Adaptable furniture that offers differentiated features
- Add ons and bundles + seasonal offerings
- In store cafe

Service expansion

- Offer installations, maintenance + customization opportunities
- Extended warranties + returns
- Repair opportunities

Expand Channels

- Look into online distribution
- Allow customers to make accounts for easy reordering
- More delivery options + local drivers
- Flexible delivery options

Pricing

- Well-timed discounts
- Membership discounts + tiered pricing to allow for wider range of customers
- Referral incentives

Show exhibit on the next slide to candidate.

DO NOT SHOW; ANSWERS ARE HERE. Approximations are OKAY as long as logical.

Bonnie is deciding whether to create a coffee shop in one of her furniture stores to bring in additional revenue. Based on the information below, do you think this would be a smart decision?

Quantitative Reasoning; Candidate should add revenue and COGS to previous calculation to calculate new margin:
New Revenue = 4.3+2.1 = 6.4
New COGS = 4.4+ 0.2 = 4.6
New gross margin = (6.4-4.6)/6.4 = 25% → **this exceeds 10% goal, so that is good. Fixed costs are 1.8M, so they will still be profitable (6.5-4.6-1.7) = $0.2M in profit**

Qualitative Reasoning; increased time spent in stores can convert into sales, but competition is high; must create products + an experience that is differentiated.

Bonnie is deciding whether to create a coffee shop in one of her furniture stores to bring in additional revenue. Based on the information below, do you think this would be a smart decision?

Expected Increase in Revenue in 1 Year	$2.1M
Expected Increase in COGS in 1 Year	$0.2M
Fixed Costs for Cafe	$1.7M
Increased Time Spent in Store	+15 minutes on average per customer
Expected Competition	12 cafes in nearby area

Final Recommendation

Final Recommendation "Bonnie is here what is your recommendation for her?"

- Root of Bonnie's unprofitability seems to be that her margin is negative (they can argue for either revenue or cost issue), so she should focus on… (can mention either of the strategies that they talked about earlier) + **opening the cafe.**

Potential Risks

- Increasing prices can lead to decreased customer loyalty, decreasing COGS can lead to reduction in quality, expanding into online service offerings will require more upfront overhead, etc.

Next Steps

- Benchmark prices with competitors, negotiate with suppliers, survey customer base to gauge ideal form of distribution

Athena

- Productina

UConsulting

03 Productina

SOPHOMORE | FINAL ROUND | DIFFICULTY: MEDIUM/HARD

PROMPT

A U.S.-based productivity app company, Productina, operates exclusively in the United States and has experienced strong user growth and profitability over the past three years. The app helps users manage tasks, schedules, and collaboration for both individual and small-business use. The company's leadership team believes future growth in the U.S. is slowing and is **considering international expansion.** They have decided that Asia will be their first international market.

They have asked you to help them: 1) Decide which **Asian country they should enter** first 2) Assess whether the expansion would be **profitable**

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- Revenue model: Freemium app with one paid subscription tier; majority of revenue from individual users.
- Target users: Knowledge workers and small businesses; moderately price-sensitive, mobile-first.
- Financial goal: Break even within 2 years
- Expansion constraints: Entry into one Asian country only, with limited localization resources in Year 1.

BEHAVIORALS

What is something you are extremely passionate about?

If you had to plan a UConsulting social, what would it be and how would you plan it?

What is an impact you want to make on the UCLA Campus before you graduate?

FRAMEWORK

Bonus (hypothesis): *The company should enter a high-income, digitally mature Asian market, where higher willingness to pay offsets smaller market size, allowing the business to reach profitability within two years.*

Which Asian market offers the best balance of market attractiveness and profitability for the company's first international expansion?

Asia Market Attractiveness

- Size of addressable market (internet users, knowledge workers)
- Growth of digital productivity and SaaS usage
- User willingness to pay (income levels, subscription adoption)
- Strength of local competitors

Product-User Fit

- Importance of productivity tools in daily life
- Differentiation & preferences: Clear value over existing tools users already use
- Willingness to adopt a new tool
- Integration w/ local tools (messaging apps, calendars, storage)
- Churn drivers: price sensitivity, complexity, lack of local relevance

Financial Consideration

- Revenue: price for premium model, expected conversion rate to paid users
- Cost
  - Fixed: Salaries, legal, compliance, & accounting fees
  - Variable: Customer acquisition cost, app store fees, cloud and server infrastructure
- Competitor pricing
- Break-even timeline

Risks and Scalability

- Engineering bandwidth constraints
- Brand trust as a foreign app
- Likelihood of incumbents copying features or lowering prices
- Cost for customer support and localization upkeep
- Regulatory environment

Show exhibit on the next slide to candidate.

DO NOT SHOW; ANSWER GUIDELINES ARE HERE

KEY: Candidate should show a prioritization process – which metric matters the most. Back it up with reasonings

ANSWER: Singapore

- Prioritization: highest willingness to pay & ARPU, highest paid conversion rate, strong productivity app adoption, low location complexity
- These factors directly support the company's goal of reaching break-even within 2-years
- Singaporeans also primary speaks English

Why not others:

- India: massive scale but low willingness to pay, conversion, and high complexity
- JP: Strong ARPU and adoption, but high competitive intensity and higher execution complexity → increases risk
- SK : solid digital adoption, but lower ARPU

Which country should Productina move forward with?

Metric	Japan	South Korea	Singapore	India
Internet users (M)	~115	~50	~6	~900
Knowledge workers (M)	~40	~18	~2	~150
Productivity app adoption	◐	◐	●	◑
Willingness to pay	◐	◐	●	○
ARPU	~$60	~$45	~$70	~$10
Paid conversion rate	~11%	~9%	~14%	~4%
Competitive intensity	●	●	◑	◑
Localization complexity	◑	◑	○	●

*Harvey balls are meant to show **relative performance within a metric**, not across metrics*
ARPU: Average Revenue Per User

MATH

Assessing Productina profitability in the new market

Will Productina be able to break even within 2 years with the knowledge workers customer base?

Additional Information (Give to interviewee if asked)

- *Fixed Cost: $111k/year*
- *Guide the candidates to use the knowledge worker number, paid conversion, ARPU to solve this question*

Provide to the Candidate

- Adoption (end of Year 2) = 13%
- App store fee = 30% of revenue
- Customer Acquisition Cost: $4.7/user (ok w rounding to $5)

Calculations

- Adopted Users: Knowledge Worker Number * Adoption Rate: 2M * 13% = 260K
- Paying Users: 260K * 14% (Paid Conversion Rate) = 36.4K
- **2-Year Revenue: $70 * 36.4K = $2.548M**
- **Total Cost ($2.21M)**
  - Variable: $4.7/user * 260K users = $1.222M (over 2 years)
  - Fixed: $111k/year * 2 years → $222k for 2 years
  - App Store Fee: $2.548M × 30% = $764.4K
- **Break Even: Yes, we can break even within 2 years →** <u>**make sure they contextualize**</u>

BRAINSTORMING

What strategies would you recommend to drive user acquisition and paid adoption in a new country?

Acquisition Channels

- App store optimization (keywords, reviews, featured placement)
- Paid digital marketing & influencer partnerships
- Partnership with co-working spaces or startup communities

Active → Paid Conversion Levers

- Free trial with clear value moments
- Localized Pricing or introductory offers/discounts
- Localized onboarding and tutorials

Retention & Stickiness

- Habit forming features (notifs, streaks, etc)
- Integration with local tools
- Customer support and in-app education
- Referral incentives tied to long-term usage

*Bonus: How would you **prioritize** these strategies given limited budget?*

CONCLUSION

Final Recommendation

- Productina should move forward with Singapore
- Reaches goal of break even within 2 years, strong productivity app adoption, low location complexity, locals speak English

Potential Risks

- Engineering bandwidth constraints
- Brand trust as a foreign app
- Regulatory environment

Next Steps

- Validate assumptions: Run a 60–90 day pilot in Singapore to test adoption, conversion, CAC, and pricing assumptions.
- Finalize GTM plan: Select priority acquisition channels, set budget, and lock launch timeline.
- Localize product: Complete language, onboarding, and payment localization required for launch.

NOVA - HOUSE

UConsulting

01 NOVA-HOUSE

FRESHMEN | FINAL ROUND | DIFFICULTY: MEDIUM

PROMPT

Our client is **Nova-House** , an exclusive, LA-based lifestyle and health club that combines high-end fitness, co-working spaces, and a "biohacking" juice bar. Founded in 2019, they cater to **high-net-worth professionals.** While initial membership sales were strong, profitability has plateaued over the last 12 months. The CEO wants to return to a **30% profit margin** and needs your help to identify which service lines to optimize and whether to invest in new premium offerings

BEHAVIORALS

Tell me about a time you faced a conflict in a team.

What interests you about a career in consulting?

What is something you're passionate about?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- Revenue comes from three main tiers: Social (Access only), Performance (Fitness), and Executive (Private suite)
- Highly price-insensitive consumers who value exclusive community experiences and product offerings
- Reach the 30% profit margin target over the next year
- Membership count has been flat for the last year

Note: "biohacking" is just a term for ultra health conscious focusing on premium nutritious ingredients

UConsulting

FRAMEWORK

How should Nova-House achieve their profit goal?

Market

- **Industry trends:** Luxury wellness & biohacking market growth, Co-working demand, High-income spending behavior
- **Competitive Landscape;** other private clubs, boutique fitness studios

Nova House

- **Product/Brand:** fitness offerings, co-working spaces, juice bar, brand exclusivity
- **Customers:** member segmentation, willingness to pay, usage frequency, churn rate

Profitability

- **Revenue streams**
  - Membership pricing & tier mix
  - Juice bar spend per visit
  - Event & networking event access
- **Cost drivers;**
  - Fixed; rental spaces, capex, marketing
  - Variable; utilities,hourly wages

Strategies

- Tiered membership expansion
- Partnerships with premium brands
- Marketing Improvements
- Private events & networking monetization

EXHIBIT

Our client has provided us some financial information to give you. (give out info after next slide) Our client is looking to identify which service lines they should prioritize. Please calculate profit by service line and the overall profit margin.

Have candidate look at exhibit on the following slide.

*Candidate should be able to calculate **variable costs ($), total costs, profit,** and identify the service lines they should prioritize.*

#1. Compute Total Costs & Profit:

	Membership	Fitness	Co-Work	Juice
Total Costs	0.6+2 = $2.6	0.7+1.5 = $2.2	0.8+ 1.8 = $2.6	0.5 + 2.0 = $2.5
Profit	6.0 - 2.6 = $3.4	2.0 - 2.2 = -$0.2	4.0 - 2.6 = $1.4	1.0 - 2.5 = -$1.5

#2. Overall Profit Margin:

- *Total Profit = 3.4 + -0.2 + 1.4 + -1.5 = $3.1M*
- *Total Revenue = 6.0 + 2.0 + 4.0 + 1.0 = $13M*
- *Profit Margin = $3.1M/$13M = **23.8%** (ok to round to 3M)*

Key Takeaways:

- Currently below the profit goal of 30%
- Fitness classes and the juice bar are dragging down profit
- Nova-House needs to either optimize existing services or introduce a new service to achieve 30% margins

Service Line Financials & Utilization

	Membership Fee	Fitness Classes	Co-Working	Juice Bar
Revenue ($M)	6.0	2.0	4.0	1.0
Fixed Costs ($M)	2.0	1.5	1.8	2.0
Var Costs ($M)	0.6	0.7	0.8	0.5
Capacity Utilization	95%	70%	60%	85%

QUAL

**Nova-House is considering launching a new Premium Spa Service.
What additional information would be helpful in determining whether this offering can help Nova-House achieve their goal?**

Financial

- **Revenue**
  - Expected pricing and willingness to pay
  - Adoption rate among current members
  - Impact on overall member spend
- **Costs:**
  - **fixed:** upfront costs (equipment, training, marketing)
  - **variable:** ingredients, labor

Non-financial

- **Customer demand:** Is there proven interest from current members?
- **Brand alignment:** Does this reinforce Nova-House's premium, exclusive positioning?
- **Operational complexity:** Can current staff support this without service degradation?
- **Member retention:** Will this increase loyalty, engagement, or length of membership?

EXHIBIT II

Based on Exhibit II, should Nova-House launch the Premium Spa Service?

Have candidate look at exhibit on the following slide.

- *Try to let them come up with an approach, hopefully they can see they should calculate the incremental profit and overall profit margin, if they don't nudge them*

*Candidate should be able to determine that **adding the Spa Service** is a smart decision.*

Incremental Profit = *$1.8M - $0.44M = $1.36M*

New Overall Profit Margin = *($1.36M + $3.1M)/($13M + $1.8M) = 30.1% (can round if needed)*

Candidate should determine that launching the Premium Spa Service is the best next step as it achieves the CEO's Profit goal.

EXHIBIT II

Based on Exhibit II, should Nova-House launch the Premium Spa Service?

Financials for the Premium Spa Service

Category	Value
Incremental Revenue	$1.8M
Incremental Costs	$0.44M
Current Company Revenue	$13.0M
Current Company Profit	$3.1M

BRAINSTORMING #2 (if time remaining)

What are some other ways Nova-House can increase their overall profit margin?

Membership

- Price increases given high utilization (95%)
- Bundle add-ons (spa, events, private sessions) into higher tiers
- Reduce churn through loyalty benefits

Fitness

- Increase class fill rates (optimize scheduling, peak vs off-peak)
- Reduce variable costs (instructor mix, class formats)
- Shift toward scalable formats (larger group classes)
- Reprice or eliminate consistently low-demand classes

Co-Working

- Increase occupancy through flexible plans or corporate packages
- Monetize underused hours with day passes or off-peak pricing
- Convert space to higher-value uses during low demand

Juice Bar

- Simplify menu to reduce ingredient waste
- Reprice high-cost items or reduce portion sizes
- Outsource or partner with a premium brand
- Exit or replace with higher-margin offerings (e.g., grab-and-go, supplements)

CONCLUSION

Final Recommendation “CEO of Nova-House is here, what is your recommendation for them?”

- Launch the Premium Spa Service
- Reallocate Resources from Underperforming Service Lines
- Optimize Utilization of Existing Assets

Potential Risks

- Spa profitability is projected and not the actual results.
- Actual member uptake may be lower than expected
- Adding a new service could strain staff or degrade the premium experience if not executed properly

Next Steps

- Pilot spa offerings, gather data from current members on expected adoption rate
- Track margin and utilization KPIs
- Reassess low margin services and determine whether to restructure, outsource, or fully exit

AllRoads

UConsulting

04 AllRoads

FRESHMAN | FINAL ROUND | DIFFICULTY: HARD

PROMPT

Your client, AllRoads, is a U.S.-based mobile app that helps users discover hiking trails nearby, record their adventures, and share trail information with others. The platform relies heavily on user-generated content, where users upload trail maps, reviews, and photos, creating a strong community of outdoor enthusiasts. AllRoads has grown rapidly in the U.S., with a sizable base of active hikers and travelers contributing to a robust dataset of trails. However, the leadership team now sees an opportunity to expand into Europe, where there is also a large market of hikers, cyclists, and outdoor explorers. Should AllRoads expand into Europe, and if so, how should they approach this expansion?

BEHAVIORALS

What is something you are extremely passionate about?

If you had to plan a UConsulting social, what would it be and how would you plan it?

What is an impact you want to make on the UCLA Campus before you graduate?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- The main revenue streams of AllRoads are from advertising, brand partnerships, and a premium subscription model.
- Currently operates in all 50 states of the United States, and some user base in Canada.
- Europe's major competitor to AllRoads is called Brava, where trail information is managed by company and not users.
- **Objective** : the entrance should be profitable.

FRAMEWORK

Should AllRoads enter the European market, and how would they go about doing so?

European Market

- Industry growth trends, will it grow in the future or is it at a ceiling
- Competitive landscape from other trail and outdoor activity apps such as Brava, how can they differentiate when entering
- Market size for European outdoor apps

Capabilities

- Keep same business model or change to new model in Europe
- Capacity to expand, assess current markets
- Expertise in European markets for expansion
- Regulatory compliance with European standards

Financial Considerations

- Revenues from advertising and subscriptions
- Rollout costs, database costs, marketing costs, salary for new personnel
- Timeline of returns to investment for expansion, is it a reasonable amount of time?

Trends, Risks, and Other Considerations

- Roll out strategy, where would it launch and how would AllRoads attract users
- Strategic partnerships to onboard more users or organic growth once launched?
- Difficulty having users contribute to app

BRAINSTORMING (1)

What are some ways that AllRoads can gain user base when entering Europe?

Tailored Content

- er with local hiking organizations to bundle products and inspire more people to download app
- Offer multilingual support and culturally relevant trail recommendations
- *Be Creative*

User Experience

- Provide detailed offline maps to combat connectivity challenges and compete with Brava
- Integrate local, real-time updates based on user input
- *Be creative*

Marketing/Partnerships

- Pilot and then slowly roll out as a part of their marketing
- Communicate value proposition of being user generate and emphasize community aspect of AllRoads over Brava
- Partner with fitness brands to spread awareness of AllRoads within Europe
- *Be creative*

BRAINSTORMING (2)

AllRoads is considering acquiring a popular European running app, Jarmin, to accelerate expansion. What are some of benefits and costs of such a tactic?

Benefits

- Access to another user base to increase brand awareness for AllRoads
- Integration of Jarmin features into AllRoads' native app, creating familiarity with European users
- Addition of management team with European expertise to help future strategic planning
- *Be Creative!*

Costs

- Costly and no guarantee that profits would recoup the acquisition cost
- Alienation of Jarmin user base if user experience is not within their tastes and preferences
- Lack of synergy between Jarmin's mission and AllRoads, diluting brand image
- *Be creative*

MATH

Assessing Europe's profitability as a new market.

After conducting market research, we found that 100 million people in Europe fit the customer profile for AllRoads.

Additional Information (Give to interviewee if freshman)

- *AllRoads can expect to capture 15% of this user base in 5 years*
- *40% of these captured users are projected to be premium subscription holders, paying $5 a month.*
- *Advertising revenue amounts to $ 1 billion in 5 years.*

What is the total revenue that AllRoads can achieve after being in the market for 5 years?

- 15% of 100 million = 15 million x 40% = 6 million x $60 yearly per user x 5 years + 1 billion = **$2.8 billion**

Then, ask candidate to list relevant cost items with an app. They should include but not limited to:

Fixed: Cloud storage, data centers, hosting costs, salaries, etc

Variable: marketing costs, cloud service usage fees, payment processing fees, commissions for partners, etc

Now, tell candidate: *$450 million in fixed costs and $650 million in variable costs from expansion to Europe.*

Is this move profitable? If so, what is the profit?

Answer: *2.8 billion - (450 million + 650 million) =* ***$1.7 billion***

CONCLUSION

Final Recommendation

- AllRoads should enter the European market.
- This venture is profitable, generating around $1.7 billion in profit after 5 years
- AllRoads is uniquely differentiated from competitors due to its user-generated nature and hyper local emphasis, and acquiring Jarmin could accelerate this competitive advantage.

Potential Risks

- Cultural differences and the presence of established direct and adjacent players post a challenge for AllRoads
- May be difficult to catalyze users to contribute to trail data at the start, which could reduce revenue estimates
- Regulatory risks also exist within Europe when foreign applications have entered in the past

Next Steps

- Look into partnerships with local brands to ease users on to the platform and contribute content
- Extensive market research to learn more about the tastes and preferences of Europeans in the outdoor space
- Invest in regulatory compliance preparation to prevent legal implications in the future

BEAN SCENE

UConsulting

05 BEAN SCENE

FRESHMEN | FINAL ROUND | DIFFICULTY: EASY / MEDIUM

PROMPT

Our client is **BeanScene**, a boutique coffee chain based in **San Francisco**. They currently operate 40 stores across the Bay Area and have built a loyal customer base through high-quality espresso drinks and local sourcing.

BeanScene is considering **entering the Los Angeles market**, where major competitors like **Daily Grind** and **Bruin Cup** are already established. The CEO wants to understand whether expansion makes strategic and financial sense.

BEHAVIORALS

Tell me about a time you faced a conflict in a team.

What interests you about a career in consulting?

What is something you're passionate about?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- Bean Scene is looking to enter the market in the next year, and hit a **$200 million revenue target**
- Bean scene currently sells coffee and pastries
- Bean Scene currently sources their beans from a local farm in the Bay Area

FRAMEWORK

"How would you evaluate whether BeanScene should enter the Los Angeles coffee market?"

Product

- **Market size and growth**
- **Competitive landscape**
- **Customer trends**
- **Regulatory environment (permits)**

Marketing

- **Supply chain-** how will they source raw materials
- **Product differentiation-** LA has an oversaturated market
- **Alignment with long term goals**

Finances

- **Expected revenue** - how does this compare to current SF locations?
- **Investments** - machinery, stores
- **Break-even point**
  - **and how long will it take?**

Risks

- Product market fit
- Financial instability and cost overruns
- Insufficient resources
- Branding impacts (performs better in SF than LA)

BRAINSTORMING

"If BeanScene decides to enter Los Angeles, what steps could they take to differentiate themselves from competitors like Daily Grind and Bruin Cup?"

Product

- **Seasonal flavors of coffee**
- **Healthy alternatives**
- **Focus on sustainability in sourcing**

Marketing

- **Community-based events**
  - **collaborate with local shops**
- **University pop ups**
  - UCLA + USC presence
- **Influencer partnerships**
  - **leverage LA's influencer scene**

Pricing

- **Student discounts**
- **Loyalty discounts**
- **Tiered pricing (** premium vs standard drinks)
- Subscription model + Uber Eats discounts

EXHIBIT

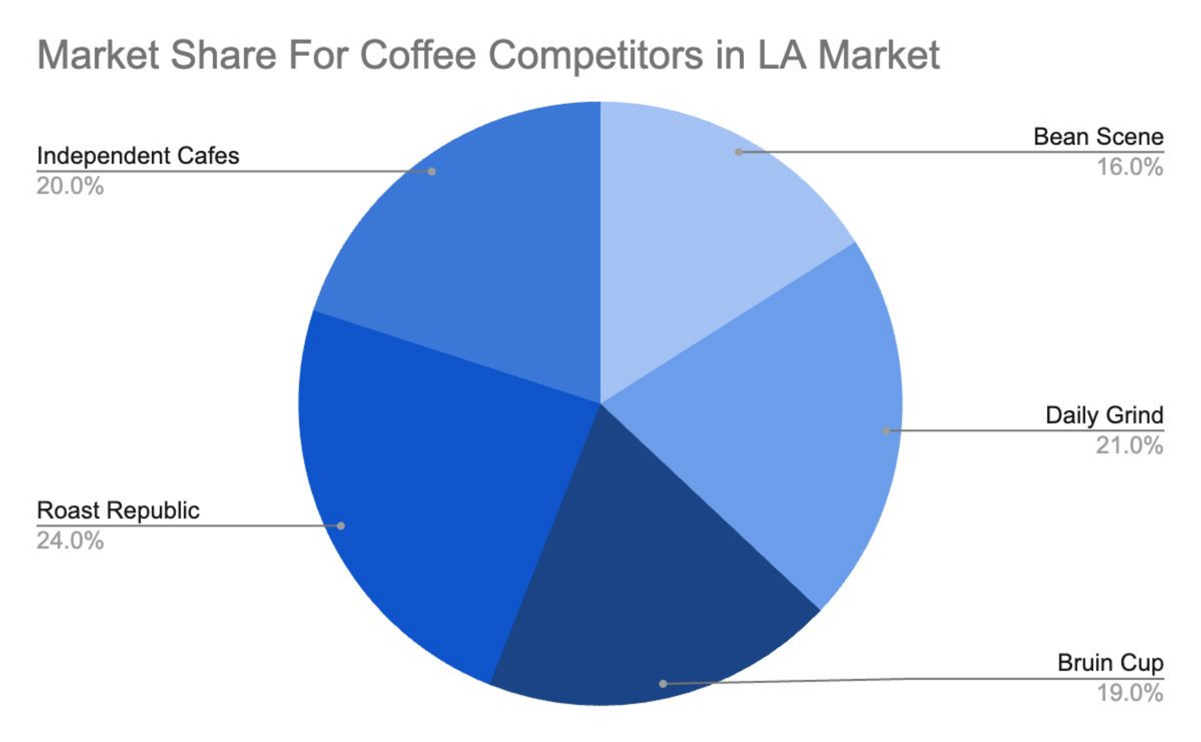
This exhibit shows the expected market share for Bean Scene if they enter the LA market (within a one year timeframe). Based on this information, would you recommend Bean Scene enter this market? (show exhibit on next slide)

Answer; Yes, because market is not strictly dominated with 1-2 competitors who have majority market share

Bean Scene's expected market share is comparable to other pre-existing cafes, and given the one year time frame this provides reasonable grounds for future growth.

16% share in one year is optimistic — could be a potential risk.

EXHIBIT


Market Share For Coffee Competitors in LA Market
Independent Cafes
20.0%
Bean Scene
16.0%
Daily Grind
21.0%
Roast Republic
24.0%
Bruin Cup
19.0%

MATH

What would Bean Scene's expected annual revenue be in Los Angeles if they achieve their target market share?

Ask candidate what information they would need to know, wait until they come up with a few responses.

Give candidate the following information:

- LA Population; 4 million
- 70% drink coffee
- Average customer spends $6 per visit
- Average customer buys 80 cups per year
- Bean Scene aims for 16% market share in year 1

Answer:

- Total addressable customers= 2.8 million (0.7 * 4 million)
- Bean scene customers= 16% * 2.8 million = 448,000
- Annual spend per customer= $6 * 80 = $480
- Annual revenue = 448,000 * 480 = **$215.04M**

MATH

If variable costs are 60% of revenue and fixed costs are $30M annually, what's Bean Scene's profit?

Answer:

- Revenue = $215.04M
- Variable costs = 0.6* 215.04= **$129M**
- Gross profit = 215-129= **86M**
- Fixed costs = 30 million
- Profit = **$56M**
- **Profit margin = 26%**

CONCLUSION

Final Recommendation

- Bean Scene should enter the Los Angeles market because it exceeds their profitability goal

Potential Risks

- Product market fit
- Fierce competition

Next Steps

- Find ways to differentiate products from competitors
- Evaluate alternatives to ensure LA is the most profitable market

FANTASTIC FRUITS

UConsulting

05 FANTASTIC FRUITS

SOPHOMORE | FINAL ROUND | DIFFICULTY: MEDIUM

PROMPT

Our client today is **Fantastic Fruits** , a fruit farming company that supplies a variety of high-quality fruits across the US. They were established in 2000 and while profitability was steadily growing for the first 20 years, it has plateaued in the last few. **Fantastic Fruits would like your help in addressing the issue and improving profitability next year (in 2026).**

BEHAVIORALS

Tell me about a time you faced a conflict in a team.

What interests you about a career in consulting?

What is something you're passionate about?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- Fantastic Fruits is located in California
- They supply both B2B and B2C

FRAMEWORK

How should Fantastic Fruits address this issue?

Revenue

- **Pricing:** room to grow with dynamic pricing for B2C or wholesale contracts with B2B
- **Product mix:** certain fruits more profitable / sell better, add supplementary products (jam, dried fruits, etc.)

Costs

- **Labor:** automating, contract workers, mechanized harvesting
- **Logistics:** supply chain logistics to minimize waste and ensure timely deliveries

Fantastic Fruits

- **Clientele:** is the bulk of our sales B2B or B2C? is one more profitable than the other? can we appeal to certain markets more?
- **Market expansion:** which geographies are we selling in and through which channels
- **Differentiation:** organic, non-GMO

Creative Strategies

- **Agtech:** drones, soil sensors, irrigation, pest control, fertilizers
- **Food brand partnerships:** co-branded with smoothie or snack companies
- **Customer loyalty:** programs benefiting repeat customers

BRAINSTORMING

What are some ways to improve profitability?

Revenue	Costs
• **Loyalty Programs** • **Targeting new demographics:** Organic, non-GMO • **Brand partnerships / marketing** • **Different fruits** • **Supplementary products** • **Subscription boxes** • **Dynamic pricing**	• **Agtech & optimizing labor** • **Negotiate bulk discounts:** for fertilizers, pesticides, etc. • **Reduce spoilage** • **Optimize logistics & transport**

EXHIBIT

ON THE CHOPPING BLOCK!

Our client has analyzed their options and have devised a potential profitability growth opportunity through changing the crop mix. They would like your input into which fruit would be the most profitable over the course of a year. The farm is allocating 100,000 sqft to the sole production of one of these fruits. (assume fruits grow year round, total transport and additional costs constant for all options)

Have candidate look at exhibit on the following slide. Explain that exhibit metrics are from the perspective of the farm – space required, time to grow, etc. if candidate is confused.

Candidate should be able to determine that ***producing more strawberries*** *is the proper next step.*

Blueberries

- *Profit per pound: 15 - (4*0.4) = 13.4* *Pounds produced per cycle: 100,000 / 10 = 10,000*
- *Profit per cycle: 13.4 * 10,000 = 134,000* *Cycles per year: 12 / 4 = 3* *Profit over a year: 134,000 * 3 = 402,000*

Strawberries

- *Profit per pound: 10 - (2*0.8) = 8.4* *Pounds produced per cycle: 100,000 / 7 = 14,285 ≈ 14,000*
- *Profit per cycle: 8.4 * 14,000 = 117,600* *Cycles per year: 12/2 = 6* *Profit over a year: 117,600 * 6 = 705,600*

Grapes

- *Profit per pound: 30 - (3*1.6) = 25.2* *Pounds produced per cycle: 100,000 / 15 = 6,666 ≈ 6,500*
- *Profit per cycle: 25.2 * 6,500 = 163,800* *Cycles per year: 12/3 = 4* *Profit over a year: 163,800 * 4 = 655,200*

Candidate should be able to determine **Strawberries** is the most profitable over a year. Excellent candidates can note that there are risks involved with solely producing one type of fruit (e.g. insufficient demand, poor growth conditions, changing customer preferences).

	Blueberries	Strawberries	Grapes
Price / pound	$15	$10	$30
Growth time	4 months	2 months	3 months
Sqft. required / pound	10 sqft	7 sqft	15 sqft
Growth cost per pound	$0.4 / month	$0.8 / month	$1.6 / month

GRAPH ANALYSIS

Fantastic Fruits has decided to change their mix of crops to be more profitable in line with your recommendation. We have also collected some market research on projected demand and the market share we can expect to capture. What can you tell me with this information? (show graph on next page)

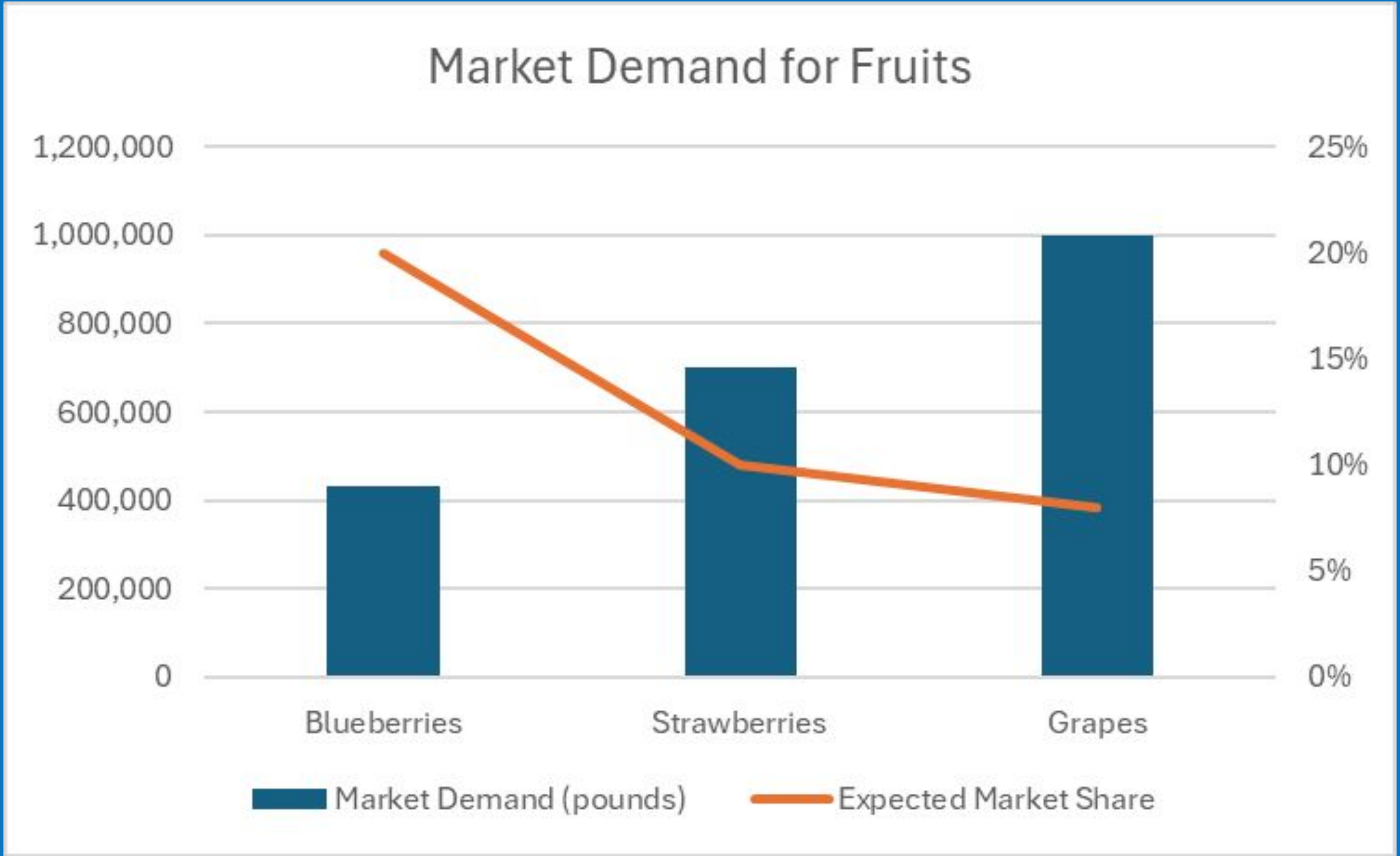
Numbers to clarify if graph unclear:

- **Blueberries:** Market demand = 430k; Expected market share = 20%
- **Strawberries:** Market demand = 700k; Expected market share = 10%
- **Grapes:** Market demand = 1M; Expected market share = 8%

Candidates should realize that if we exclusively produce strawberries like previously recommended, we supply more strawberries than the market demands. We can supply ~14,000 pounds per cycle of strawberries and 6 cycles of strawberries per year, which is 84,000 pounds per year. However, there is only demand for 700k*0.1=70k pounds of our strawberries. Thus, the optimal production strategy would be producing 70k pounds of strawberries and using the rest of the farmland to produce grapes (the second most productive fruit).

Excellent candidates can suggest ways to grow expected market share for strawberries.

05 FANTASTIC FRUITS



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BRAINSTORMING (if time remaining)

What are some ways to increase market share of strawberries?

Financial

- **Pricing:** undercutting competitors with pricing
- **Volume contracts:** incentivizing higher-volume B2B purchases through volume contracts
- **Incentives:** discounted subscriptions, loyalty credits, rebates, etc.

Non-financial

- **Product differentiation:** better taste, larger fruit, special coloring
- **Channel expansion:** contracts with smoothie chains, bakeries, meal kits, schools, workplaces
- **Supplemental product expansion:** strawberry jam, strawberry smoothies, strawberry candy, strawberry cake, dried strawberries, strawberry drinks

CONCLUSION

Final Recommendation

- Fantastic Fruits should sell 70k pounds of strawberries and use the rest of their production capacity for grapes

Potential Risks

- Strawberry demand may fall
- Competitors may offer more compelling strawberries in price or quality and our market share may fall

Next Steps

- Look into methods to expand market share in strawberry market
- Consider further cost optimization strategies

LENNIE'S LAPTOPS

UConsulting

05 LENNIE’S LAPTOPS

SOPHOMORE | FINAL ROUND | DIFFICULTY: MEDIUM

PROMPT

Our client today is **Lennie’s Laptops** , a budget to mid-range laptop manufacturer. They were established in 1990 and manufacture affordable laptops primarily for students . However, they’ve been facing a decline in demand over the past three years. **Lennie’s Laptops would like your help in addressing the issue and increasing demand in the next year.**

BEHAVIORALS

Tell me about a time you faced a conflict in a team.

What interests you about a career in consulting?

What is something you’re passionate about?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- Laptops are priced between $250 and $700
- No physical stores, sold online and through larger retailers (e.g. Best Buy)
- Lennie’s Laptops are manufactured in China and sold exclusively in the U.S.

FRAMEWORK

How should Lennie's Laptops address this issue?

Market

- **Competitors:** laptop brands specifically in the budget-friendly space
- **Market trends:** are people more or less inclined to buy budget laptops in this economy?
- **Industry margins / price sensitivity**

Customers

- **Target market:** who/where are the budget-conscious shoppers
- **Purchase drivers:** what are the bare-bones features expected from a budget laptop
- **Customer expansion:** which new segments can we target to expand customer base

Lennie's Laptops

- **Product mix**
- **Sales channels**
- **Brand perception:** potential low-quality association with budget price point

Creative Strategies

- **Partnerships:** elementary/middle /high school, uni, corporate
- **Pricing**
- **New products / bundling**
- **Marketing**
- **Geographic expansion:** currently only sell in the U.S.

BRAINSTORMING

What are some ways to improve revenue?

Existing Customers

- **Upselling / cross-selling:** higher-end products, supplementary products
- **Add-ons:** warranties, bundled software
- **Loyalty programs:** e.g. returning old laptops for credits towards future purchases

New Customers

- **Partnerships:** schools, universities, corporations
- **Discounts / promotions**
- **Marketing**
- **Refurbished store:** captures even more price-sensitive customers
- **Physical stores / geographic expansion**

EXHIBIT

ON THE CHOPPING BLOCK!

Lennie's Laptops has decided on launching a flagship, higher-end laptop to diversify their product mix and hopefully attract new customers. They have asked for your help in assessing whether it would be more cost efficient to produce these laptops in our own facilities within the U.S., or import manufactured laptops from China over the next 3 years.

Assume both options can produce 15k / year even during the setup year

In-house

- *Total fixed cost = 1M*
- *Total variable cost / year = 15k * (300 + 1) = 4,515,000*
- *Total cost for 3 years = 1M + 13,545,000 =* ***14,545,000***

Outsource

- *Total fixed cost = 30k*
- *Total variable cost / year = 15k * (250 + 0.1 * 1,000) = 5,250,000*
- *Total cost for 3 years = 30k + 5,250,000 * 3 =* ***15,780,000***

Candidates should realize producing ***in-house within the U.S.*** *will save ~$1M over 3 years. Excellent candidates will recognize that they can simplify the math by not calculating revenue / profitability and focus on costs, as sales are the same for both options.*

	In-House @ U.S. Facility	Outsource @ Chinese Facility
Setup time	8 months	2 months
Initial investment	$1M	$30,000
Var. cost / unit	$300	$250
Transport and import costs	$1 / unit	10% of sale price

Units produced: 15,000 / year

Sale price: $1,000

GRAPH ANALYSIS

Lennie's Laptops is also considering launching additional products. Which 2 seem the most appealing?

Keep them **AWAY from doing raw calculations** , look for qualitative reasoning

Manufacturing overlap: how similar production is to current processes (easier to manufacture given current expertise)

Potential responses:

- Headphones have one of the highest bundling rates and solid manufacturing overlap and profit margins
- Mice have the highest bundling rates and extremely good margins (excellent candidates can mention potentially outsourcing production to mitigate medium manufacturing overlap).
- Screen protectors seem appealing due to high bundling rates and the highest profit margins (not the best response as explained below)

Excellent candidates will notice selling price for these items are omitted, and even with high margins certain items with low price points may not be worth the trouble (e.g. screen protectors).

Product	Bundling rate	Manufacturing overlap	Profit margin
Carrying case	50%	Low	20%
Screen protector	70%	Low	80%
Tablet	2%	Medium	50%
Headphones	75%	Medium	50%
Mouse	80%	Medium	65%
Keyboard	10%	Medium	20%
Speaker	15%	Low	65%
External monitor	5%	High	40%

BRAINSTORMING (if time remaining)

What are some risks Lennie should consider when launching new products?

Financial

- **Revenue related;**
  - Margin overestimation
  - Cannibalization (from existing sales)
- **Cost related**
  - additional production costs
  - Marketing overspend

Non-financial

- **Operational**
  - inability to achieve production synergies
  - supply chain uncertainty
- **Reputational risks**
  - brand dilution
  - customer dissatisfaction
- **Strategic + Market**
  - oversaturation by competitors
  - regulatory compliance

CONCLUSION

Final Recommendation

- Lennie's Laptops should produce their new flagship laptop in-house in the U.S. as it is slightly cheaper than the alternative option
- Lennie's Laptops should consider launching supplementary products like headphones, mice, and screen protectors

Potential Risks

- Rising in–house costs (e.g. wages go up)
- Confusing brand positioning

Next Steps

- Confirm attainable market for higher-end laptops
- Consider sales price for supplementary products and calculate bottom-line impact

ROLLERCOASTER RANCH

UConsulting

05 ROLLERCOASTER RANCH

SOPHOMORE | FINAL ROUND | DIFFICULTY: MEDIUM

PROMPT

Our client today is **Rollercoaster Ranch** , an amusement park in California known for their high-speed roller coasters. They were established in 2021 and had a disappointing launch due to the lingering impact of the pandemic. Currently they are struggling to attract visitors from more established amusement parks. **Rollercoaster Ranch would like your help in addressing the issue and implementing strategies to improve revenue.**

BEHAVIORALS

Tell me about a time you faced a conflict in a team.

What interests you about a career in consulting?

What is something you're passionate about?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- Rollercoaster Ranch's primary objective is revenue, with a specific emphasis on ticket sales within the next two years
- There is only one location in LA, CA with no plans on expanding
- Rollercoaster Ranch currently breaks even on an annual basis and is looking to become profitable within the next year
- We can assume the market is decently saturated, with numerous amusement parks playing a more dominant role (Disney, Universal Studios, etc.)

FRAMEWORK

How should Rollercoaster Ranch address this issue?

Amusement Park Market

- **Competition** : how are competitors performing? any strategies they're implementing?
- **Consumers** : what are consumer perceptions about amusement parks? what do they value in an amusement park?
- **Trends** : are there rising trends for theming? price? aesthetic? unique rides?

Rollercoaster Ranch

- **Competitive advantage:** what does Rollercoaster Ranch offer that is different from other amusement parks?
- **Operations:** what does staffing and service look like? what offerings does Rollercoaster Ranch offer?

Profitability

- **Revenues:** how does our pricing compare to industry standards? do we have price segmentation?
- **Costs** : **any noticeable fixed / variable costs?** any costs Rollercoaster Ranch can reduce or eliminate?

Creative Strategies

- **Customer Acquisition:** any strategies or promotions we can implement to capture more customers?
- **Specialty Offerings:** options for seasonal events items or entertainment partnerships?

EXHIBIT

ON THE CHOPPING BLOCK!

Our client has analyzed their options and have devised three potential avenues of growth. They are considering implementing student tickets, family tickets, and seasonal events. They would like your assistance in identifying which would attract the most new visitors and which would be generate the most revenue within the next two years.

Have candidate look at exhibit on the following slide.

Candidate should be able to determine that ***implementing seasonal events*** *is the proper next step.*

Candidate can notice the following

- Seasonal events has the highest visitor count both years, but has a low retention rate
- Though family tickets has a high retention rate, the pricing per person is actually the lowest of the three options

New Visitors per Item: ST (7000+7000*0.3+7000 = **16100**), FT (2500*3+2500*3*0.8+1500*3 = **18000**), SE (7000+7000*0.1+8000 = **15700**)

Revenue per Item: ST (16100*30 = **$483,000**), FT (18000/3*80 = **$480,000**), SE (15700*35= **$549,500**)

Candidate should be able to determine that ***Family Tickets*** *attracts the most new visitors, but* ***Seasonal Events*** *generates the most revenue. Excellent candidates can recall that the primary objective of Rollercoaster Ranch as revenue and push for seasonal events, but also identify that this method may not be as effective in maintaining consistent visitor count. Additionally, if unconstrained, all of these initiatives can potentially be implemented simultaneously.*

	Student Tickets	Family Tickets	Seasonal Events
New Visitors in 2025	7,000 students	2,500 families (3 visitors/family)	7,000 individual
New Visitors in 2026	7,000 students	1,500 families (3 visitors/family)	8,000 individual
Ticket Price	$30 / student	$80 / family	$35 / individual
Visitor Retention	30%	80%	10%

QUANTITATIVE ANALYSIS

Rollercoaster Ranch has decided to move forward with seasonal events. What are some costs that may be associated with seasonal events?

Ideas: Marketing, decorations, extra labor, specialized labor (technicians, designers, etc.), insurance, permits or licensing, merchandise, costumes, many many more potential costs

Rollercoaster Ranch is deciding between a Halloween Event or Valentine's event. Here are the costs that Rollercoaster Ranch has identified for each. Assume RR only has the bandwidth to host one of the two events. Which event would be more profitable?

Halloween Costs

- Marketing: $10,000, Decorations: $20,000, Additional Staffing: $10,000 / day

Valentine's Costs

- Marketing: $5,000, Decorations: $15,000, Additional Staffing $7,000 / day

Information to Give (once candidate asks): Revenue is equal for both events, **Halloween event is 2 days long, Valentine's event is 3 days long** (provide length of event eventually if candidate doesn't realize it can be longer than a day)

QUANTITATIVE ANALYSIS (cont.)

Should Rollercoaster Ranch implement the Valentine's Event or Halloween Event?

Calculations:

Halloween Costs: 10,000 + 20,000 + 10,000*2 = **$50,000**

Valentine's Costs: 5,000 + 15,000 + 7,000*3 = **$41,000**

Verdict: Valentine's event should be run as it has a slightly lower cost.

Excellent candidates could mention that the difference is minimal and could easily be swayed in one direction or another if cost estimates aren't exact.

BRAINSTORMING

Aside from student tickets, family tickets, and seasonal events, what are some ways Rollercoaster Ranch can increase ticket sales and increase overall revenue?

Customer Acquisition & Retention

- **Loyalty Programs**
- **Targeting new demographics:** Veteran discounts, seniors, etc.
- **Enhanced experiences** : New rides and attractions
- **Brand partnerships / marketing**

Revenue Stream Expansion

- **Merchandise**
- **Food and Beverage Sales**
- **Parking**
- **New locations**
- **Overnight accomodations**

CONCLUSION

Final Recommendation

- Rollercoaster Ranch should implement seasonal events to generate additional revenue
- Rollercoaster Ranch should focus on a Valentine's Event which has a relatively lower cost
- Rollercoaster Ranch can also generate additional revenue through customer acquisition/retention and additional revenue streams

Potential Risks

- Competitor responses may affect client performance once seasonal events launch
- Rollercoaster Ranch may require additional finances and time to make necessary adjustments

Next Steps

- Implement seasonal events
- Determine which seasonal events would be the most profitable and refine projections

BOB'S BURGERS

UConsulting

07 BOB'S BURGERS

FRESHMAN | FINAL ROUND | DIFFICULTY: EASY

PROMPT

A national fast food restaurant chain, Bob's Burgers, reached out to you to get your advice on how to improve profitability. They launched in 2018 and experienced consistent growth up until 2022, but have been consistently declining in profitability since. They have reached out for your help to improve profitability within the next three years.

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- **Geography?** Bob's Burgers is in the US with no plans to expand abroad
- **Product?** Speciality burgers, $9-$11 price range
- **Sales channels?** Mostly B2C, with a little bit of B2B

BEHAVIORALS

Describe a time when you took the lead on a team project.

What interests you about a career in consulting?

What is your biggest strength that you can deliver on client projects?

FRAMEWORK

How can Bob's Burgers increase profitability?

Fast Food Market

- **Growth Rate** : How has the fast food market grown or declined over recent years?
- **Competitors** : Have competitors also experienced declining profitability? What changes have they done to combat this?
- **Typical Profitability** : Are our profitability margins in line with the rest of the industry?
- **Customer Trends** : Are customer preferences shifting to cheaper, more premium, healthier, etc. options

Bob's Burgers

- **Major Menu Items** : What are the best-selling items? Most profitable? Least? Adapt the menu
- **Key Target Customers** : Who are the key demographics coming to Bob's Burgers and how can we reach them
- **Marketing Strategy** : How effective is our current marketing and can we reach new customers?

Profitability Improvement Areas

- **Revenue Growth Opportunities** : New menu items, promotions, expanding marketing, extending hours, etc.
- **Cost Reduction Initiatives** : Sourcing different suppliers, automation, reducing waste through condensing menu, etc.

BRAINSTORMING

Your teammate is going to cover revenue analysis, and the manager asked you to explore costs. What are the major expenses of Bob's Burgers?

Fixed Costs	Variable Costs

Fixed Costs

- **Rent and utilities**
- **Maintenance**
- **Marketing**
- **Overhead**
- **R&D**
- **Transportation**

Variable Costs

- **Labor**
- **Food supplies**
- **Packaging**
- **Smallware** (utensils, cookware, cleaning supplies, etc.)
- **Distribution fees** (DoorDash, UberEats, etc. fees)
- **Credit card commissions**
- **Discounts** (for promotions)

EXHIBIT

Our client wants to reduce costs for utensils. They have two options: negotiating purchasing prices or building their own utensil production. What annual savings does each option offer? What is the payback period?

Information to give:

- A package of 500 items costs $10 for spoons and $6 for forks
- Only spoons and forks
- Investment in internal utensil production expected to be $10M
- Renegotiation of prices drops costs by 5%

Information to give when asked (if not asked, prompt candidate by saying "Is there any other information you would need?")

- Internal production drops costs by 50%
- Client consumes 160M utensils annually
    - half spoons and half forks

CALCULATIONS (DO NOT SHOW CANDIDATE!)

Our client wants to reduce costs for utensils. They have two options: negotiating purchasing prices or building their own utensil production. What annual savings does each option offer? What is the payback period?

Indicators	Spoons	Forks
Cost for a package of 500 items	$10	$6
Share of volume	50%	50%
Annual volume, items	160M * 50% = 80M	160M * 50% = 80M
Annual volume, packages	80M/500 = 160k	80M/500 = 160k
Annual expenses, USD	160k * $10 = $1.6M	160k * $6 = $0.96M
Total annual expenses, USD	$1.6M + $0.96M = $2.56M	
Total annual savings for option 1	$2.56M * 5% ≈ $0.13M	
Total annual savings for option 2	$2.56M * 50% ≈ $1.3M	
Payback period for option 2*	$10M / $1.3M ≈ 8 years	

Key Takeaways:

- 10x cost savings by producing internally
- 8 year payback period

Comments from Strong Candidates:

- Long payback period may not be worth it with the additional operational complexity
- Minimizing utensil waste may help

BRAINSTORMING (if extra time)

ASK FOR REVENUE BRAINSTORMING IDEAS IF EXTRA TIME

- Pricing
- Marketing
- Supplemental products
- Loyalty programs
- Delivery services
- many more

CONCLUSION

Final Recommendation

- Bob's Burgers should renegotiate the supplier contract
    - Payback period too long, utensils likely a minimal part of the total costs (rent, labor, ingredients, etc.), prompt says to improve profitability WITHIN 3 YEARS

Potential Risks

- Lack of control in utensil quality
- Less profitable in the long run
- Supplier changes prices in the future

Next Steps

- Lock in fixed contract price for 3+ years
- Assess where capital can be most efficiently allocated to boost profitability other than manufacturing utensils in-house
- Consider revenue

hi-Tea

UConsulting

03 hi-Tea

FRESHMAN | FINAL ROUND | DIFFICULTY: MEDIUM

PROMPT

hi-Tea, is an innovative green tea created by the company Wonder Beverage. This product boosts mental awareness and clarity. Using a unique combination of extracts, Japanese tea leaves, and proprietary ingredients, consumers rated it more satisfactory than 80% of other regular green teas. hi-Tea has had two successful years in the US and **now their management wants to go abroad. hi-Tea wants you to determine what considerations they should keep in mind when expanding to new markets and attempting to reach their financial goals.**

BEHAVIORALS

Tell me about a time you faced a conflict in a team.

What interests you about a career in consulting?

What is something you're passionate about?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- **Competitors-** Lots of small players but no dominant competitor offering the same tea.
- **Financial Goal -** 35M sales revenue in 12-18 months, and 30% profit margin per country.
- **Revenue-** Retail locations double the price from hi-Tea (so hi-Tea only receives 50% of the retail price). There are no distributors
- **Sales Growth-** It has been steady over the past 12 months
- **Packaging-** Thin packets, 30 per box = 1 month supply
- **Pricing-** Say "we'll look at it later"

UConsulting

FRAMEWORK

What are some considerations hi-Tea should keep in mind when expanding to this new market and attempting to reach their financial goal?

Revenue Target / Maintain Profit Margin

- **Revenues:** Price & Volume. US prices vs foreign prices? Are consumers sensitive to price? Do we have sales channels? Retail vs manufacturing price.
- **Costs:**: Fixed (use current plants, trucks, facilities) & Variable (packaging, shipping, ingredients, workers, sales team)?

Market Growth Potential

- **Short Term:** which markets can we enter quickly? Which market is most receptive to high-end tea products? Growth rate per market.
- **Long Term:** Which markets show the most long term potential?
- Market size, demand, target customers, etc.

Competitors with Similar Products

- **Current:** Who has a similar product? What market share do they have? How will they respond once hi-Tea launches the product?
- **Future:** Which competitor is in position to enter the market with new ingredients? How do we stay ahead?
- Competitor market share, etc

Risks to Current Success

- **Management:** Will US management be disrupted by the international launch?
- **Country Regulations:** Does our product fulfill country health standards?
- **Marketing:** Will we be able to adapt to the unique marketing styles present in new countries?

***NOTE* Accept frameworks that generally cover market, competitors, customers finances, risks, etc.**

FOLLOW UP QUESTIONS

Ask candidate the following questions:

That was a great structure. As you can imagine, the tea drinking habits in different countries vary significantly. What are some ways in which tea drinking habits might vary and which markets do you think would be good markets for this product?

IDEAS: expect comments about wealthier countries and attitudes towards healthy food and drink (consumers in certain regions can afford to be more concerned about health)

Show candidate handout A and ask for their initial thoughts.

IDEAS:

a. Should focus attention on green tea popularity, healthy food shops, and specialty food shops.
b. Indicate Japan, Canada, Australia as potential strong markets (can do Germany too)

HANDOUT A

hIQ
Handout A

Consumer Tea Trends by Country

Country	Tea Popularity	Green Tea Popularity	Enhanced Drinks	Healthy Eating Trend	Specialty Food Shops
Australia	◕	◑	●	◕	◑
India	●	◔	◔	◔	◔
Canada	◑	◑	●	◕	◑
France	◔	◔	◔	◔	●
Germany	◑	◑	◕	◑	◕
Italy	◔	◔	◑	◑	●
Japan	●	●	●	◔	●
China	●	●	◑	○	◔
Mexico	◔	○	◔	○	○

FOLLOW UP QUESTIONS

Ask candidate the following questions:

Tell candidate that we're now going to look at some more specific sales data. Show the candidate Handout B and ask for their initial thoughts in respect to the profit margin and prices for each country. Remind them about the target 30% profit margin and nudge them to indicate which countries fall beneath this threshold.

IDEAS:

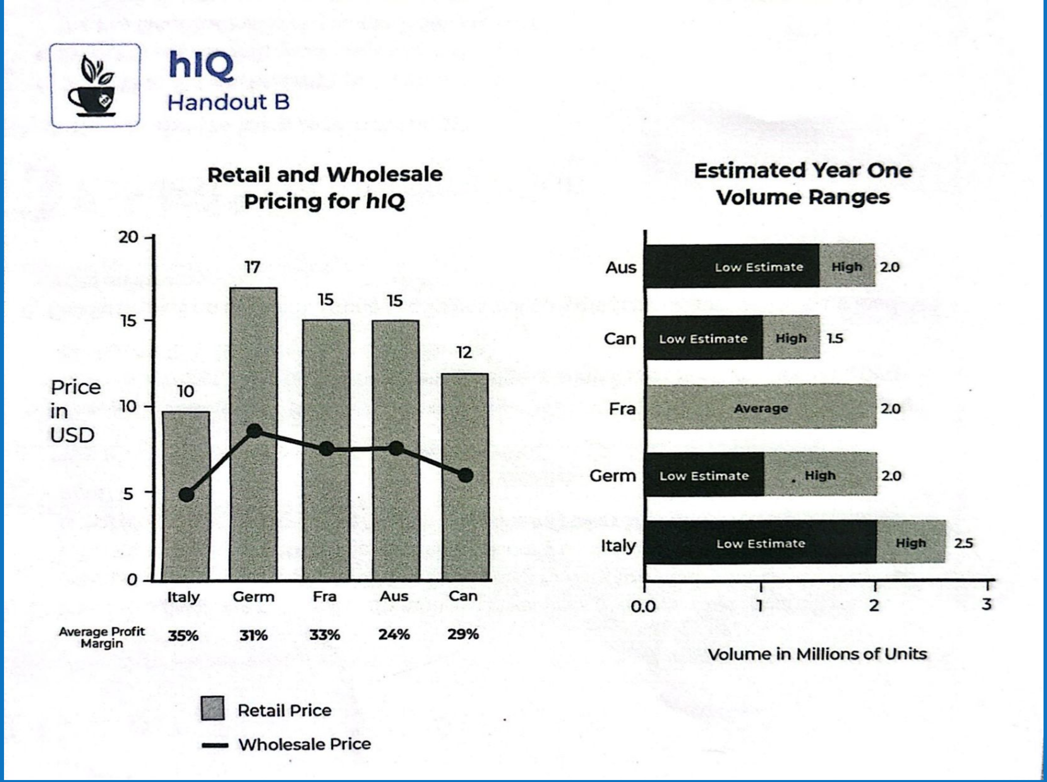
a. Candidate should indicate that Australia and Canada are below the profit margin of 30%.
   i. *You can mention that Wonder Beverages is willing to accept 29% as a profit margin, so we'll still count Canada for now.*
   ii. *Mention that Wonder Beverages is not strong in Asia, hence Japan is not on the list (if they ask)*

Ask the candidate to calculate the low and high revenue estimates for Italy, Germany, and Canada using the wholesale price, not the retail price. After they get a number for each country, ask candidate to calculate the collective low and high estimate of revenue generated across all markets.

ANSWER

a. Multiply the wholesale price (50% of the retail price) by the low and high estimates for every country to get a range. **If candidate doesn't get the wholesale price, give it to them!**
   i. **Italy = 5*2 million to 5*2.5 million = 10 to 12.5 million**
   ii. **Germany = 8.5*1 million to 8.5*2 = 8.5 to 17 million**
   iii. **Canada = 6 *1 million to 6*1.5 million = 6 to 9 million**
b. Add all numbers together to get collective lower range of **$24.5 million** and a higher range of **$38.5 million**

HANDOUT B


hIQ
Handout B
Retail and Wholesale Pricing for hIQ
Price in USD
20
15
10
5
0
10
17
15
15
12
Italy
Germ
Fra
Aus
Can
Average Profit Margin
35%
31%
33%
24%
29%
Retail Price
Wholesale Price
Estimated Year One Volume Ranges
Aus
Low Estimate
High
2.0
Can
Low Estimate
High
1.5
Fra
Average
2.0
Germ
Low Estimate
High
2.0
Italy
Low Estimate
High
2.5
0.0
1
2
3
Volume in Millions of Units

FOLLOW UP QUESTIONS

Ask candidate the following questions:

Tell candidate we'll now be looking at the profitability of two markets, Italy and Germany. Show candidate Handout C and ask them to calculate the percentage change in profits from Y1 to Y2 for both the Italian and German markets

IDEAS:

a. Italy = ((11.9M-6.2M) - (12.5M-8.7M)) / (12.5-8.7M) = 50% growth
b. Germany = (16.8M-10.3M)) - (16.3M-11.1MM) / (16.3M-11.1M) = 25% growth

Tell candidate management is coming and they need a final answer on whether to expand into new markets. Remind them that the goal was to keep a 30% profit margin and hit 35M in sales within 12-18 months.

ANSWER

a. Recommendation
   i. Company should expand → candidate can mention that estimated sales revenue is below range, however the chart only lists the 12 month revenue (so in 18 months, it is feasible that the company can achieve their goals)
   ii. **It's okay if they don't get this part, but make sure they mention something about sales volume**
   iii. Italian market appears to be promising because of high growth rate in profitability
   iv. High revenue is generated in Germany
   v. Expanding to Asia in future could be potential strategy because of strong green tea preference
b. Risks: (expanding into all markets at once, consumer preferences shifting, unknown geographical regulations, etc).
c. Next steps: extracting more data, organizing manufacturing facility, defining marketing practices, structuring company management abroad, etc.

HANDOUT C

Growth Rates

	Y1	
	Costs	Revenue
Italy	$8,700,000	$12,500,000
Germany	$11,100,000	$16,300,000

	Y2	
	Costs	Revenue
Italy	$6,200,000	$11,900,000
Germany	$10,300,000	$16,800,000

VITAL Food

UConsulting

03 VITAL Food

FRESHMAN | FINAL ROUND | DIFFICULTY: MEDIUM

PROMPT

VITAL Food is a **food truck** based in **Philadelphia**. The food is prepared fresh, stored in the truck and then sold out a window at the side of the truck. VITAL's offering is **health food** and their food includes: falafel, eggplant, gluten free side dishes, vegetarian sandwiches, fresh produce and juices. They brag that they don't own a freezer! They are ready to take their success to one **new city: Boston, New York, Chicago, or LA!** The investor team needs your help. **They want to anticipate any profit and build-out challenges** with opening a new location. Please explain what they should consider to make any location as profitable as possible. The Philly truck has **been in business for 3 years**.

BEHAVIORALS

Tell me about a time you faced a conflict in a team.

What interests you about a career in consulting?

What is something you're passionate about?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- Competitors - there are several in every city
- Pricing - VITAL is competitive with the average lunch without drink costing $6.50.
- Awareness - VITAL is a new brand in all target cities.
- Seasonality / Hours - Many of the trucks stay open year round. Philadelphia tends to have a mild winter, it is open from 11am-4pm each day.
- Local Produce - Sourced from organic farmers and healthy food distributors.
- They have great relationships with the suppliers

FRAMEWORK

What are some considerations VITAL foods should have for expanding to maximize profit?

Revenue = Price x Volume

Price

- **Meals:** Full meals, combos, specials ie: lunch special. Where do people pay the most? Are customers price sensitive?
- **Sides:** side dishes, vegetables, drinks, snacks. Which add-on items can we charge more for?

Volume

- **Foot Traffic:** good location, good/busy hours. What is the typical number of customers served per day in Philly?
- **Behaviors:** order full meals? How many regular customers? Does healthy food appeal to new location? What is the typical order size in each city compared to Philly?

Cost = Fixed Costs + Variable Costs

Fixed Costs

- **Ordinary:** truck, equipment, permits. Can we buy a truck and equipment from the same Philly vendor? How much is that?
- **Market Specific?** warehouse/prep space. Regulatory fees. Which cities have the highest rent?

Variable Costs

- **Materials:** fresh food, paper products, utilities. Will we be able to source fresh food in each city? How much?
- **Labor:** hourly workers, overtime, maintenance. How does staffing vary in the truck and rental facility through the week. Hourly wage per city?

FOLLOW UP QUESTIONS

Ask candidate the following questions:

That was a great structure. As you can imagine, there are a lot of factors to consider when opening a new food truck, what are some associated costs that VITAL Foods should consider when opening a new truck?

IDEAS: rent, car maintenance, new truck, utilities, ingredients/materials, license/permit fees, wages, prep location, etc

Exhibit

Now I would like to show you some numbers from the Boston pilot location. They have been open for 6 months and they have some data for you to review.

*Have candidate look at exhibit on the following slide (Handout A)- **Ask them what stands out and their insights as they look at it***

- *Good candidates will walk you through and talk as they review it (it's okay if they take a few seconds though), minimize moments of silence*
- *Pricing: Boston prices and the average ticket total seem to be somewhat higher which is good.*
- *Volume: This is the biggest driver behind the lower revenue since there are about*
- *1,350 fewer orders in Boston (1,350 / 20 working days per month = ~65 orders per*
- *day). The new brand, truck location or customer tastes may account for volume being lower.*
- *Variable Costs: The profit margin reflects the variable cost level. Most likely the Philly location has worked with vendors to get input costs lower, or Boston is a more expensive place to do business.*
- *Fixed Costs: Costs for the truck and location are about the same.*

Handout A

Typical VITAL Food Monthly Data
Philadelphia

MONTHLY COSTS		AVERAGE MONTHLY KEY FACTS	
Truck Monthly Rental	$3k	Average Customer Sale (total ticket)	$7.50
Prep Location Rental	$2.5k	Average Profit Margin per Ticket	80%
Monthly Maintenance	$.5k	Customers Per Month	4000
Monthly City Fees	$.75k		

Boston Monthly Data
May thru October

MONTHLY COSTS		AVERAGE MONTHLY KEY FACTS	
Truck Monthly Rental	$3.5k	Average Customer Sale (total ticket)	$8.00
Prep Location Rental	$2k	Average Profit Margin per Ticket	65%
Monthly Maintenance	$1k	Customers Per Month	3000
Monthly City Fees	$.8k		

QUANTITATIVE ANALYSIS

Based on the given data, should VITAL Foods continue their truck in Boston?

Calculations:

Philadelphia Profit: Revenue - Cost

(4000 x 7.5) - [(.2 x 7.5 x 4000) + (3K + 2.5K + .5K + .75K)] **or** (.8 x 7.5 x 4000) - (3K + 2.5K + .5K + .75K)

= $17,250 a month

Boston Profit: Revenue - Cost

(3000 x 8) - [(.35 x 8 x 3000) + (3.5K + 2K + 1K + .8K)] **or** (.65 x 8 x 3000) - (3.5K + 2K + 1K + .8K)

= $8,300 a month

Verdict: They should not based off of current profit, Philly's truck is significantly more profitable

CONCLUSION

Final Recommendation- "Now that you have thought through this situation and have reviewed some data, the CEO of VITAL Food is meeting with you and wants to hear what you recommend Boston do about profit? The Boston team has been surprised at how long it has taken to build traction with the VITAL brand."

- Expect to hear clear logic in the final recommendation and integration of all that was discussed. The topics below should be covered to some degree, but the final discussion may vary quite a bit.
- Overall: "Boston needs to perform at the level of Philly."
- Pricing: "Price does not seem to be the problem. The average price in Boston is greater than Philly ($7.94 vs. $7.55). Boston could try to raise prices more, but they may not be competitive. A $1 price increase x 2900 customers would close about 1/3 of the profit problem, but there is a risk of turning customers away."
- Volume: "Just increasing monthly volume by 500 people (25 per working day) would boost sales $7 × 500 × 12 = $42k. Advertisements, word of mouth and offering deals may help."
- Variable Costs: "Raising the profit margin would help but may be more difficult. Boston should check to see they are following WOW standards and not wasting food. They may need to shop more affordable suppliers."
- Weather: "2 months of the data was during the fall which may have been impacted by cold weather. Boston is colder than Philly."
- Creative Ideas: "Could they move the truck to different locations in the city? I know one food truck tweets their new location each day to create excitement and target new customers."

Tapsta

04 Tapsta

FRESHMAN/SOPHOMORE | FINAL ROUND | DIFFICULTY: MEDIUM

PROMPT

Our client is *Tapsta*, a Chinese-owned short-form video streaming application that has blown up in popularity over the past few years among the Gen Z population in North America. Users on the platform can upload short videos and have the option to monetize their content once they amass a following on the application. However, the United States recently issued an order to ban *Tapsta* within its borders for security reasons, leaving the app with an unprecedented loss in user base. *Tapsta* has come to UConsulting to assess the situation, consider new ways to preserve profitability, and rebrand in Europe since they haven't launched there yet.

BEHAVIORALS

What interests you about a career in consulting?

Tell me about a time you had to work in a team.

What is an impact you want to make on the UCLA Campus before you graduate?

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- The main revenue streams of Tapsta are from advertising partnerships and commission from purchases (online shop)
- Currently launched in United States, Canada, Mexico, Brazil, and select East Asian countries
- A new entrance is a long term endeavor; would need to consider roll out and growth from scratch.
- **Financial Objective** : Any new market entered would need to turn a profit in the long-term.
- Europe currently doesn't have many major short-form video players outside of social platforms like Instagram.

FRAMEWORK

Should Tapsta enter the European market, and how would they go about doing so?

European Market

- Industry growth trends
- Competitive landscape from other short-form video services
- European tastes and preferences
- **Market size for European short-form social media to ensure profitability**

Capabilities

- Keep same business model or change to new model?
- Capacity to expand, assess current markets
- Strategic partnerships
- Regulatory compliance with European standards, is it feasible?

Financial Considerations

- Revenues from advertising and commission
- Deployment costs, database costs, salary for new personnel
- Monetization for users: costs associated with paying out users

Trends, Risks, and Other Considerations

- Roll out strategy, where would it launch and how would Tapsta attract users
- Short-Term model to make up lost revenue while roll out in Europe occurs
- Legal considerations and potential for a ban in Europe as well

BRAINSTORMING

What are some short-term profitability strategies Tapsta could employ in the aftermath of the ban?

Increase volume in existing markets

- Shift focus to local partnerships and content catered to markets such as South America and East Asia
- Collaborate with local telecom and internet providers for bundling and promotion to increase penetration
- *Be Creative!*

Increase revenue per user

- Paid premium service for creators and users
- Increased commission from online shop purchases.
- Merchandising and ancillary products for top creators in remaining regions
- *Be creative*

Cost optimization

- Cut workforce in the United States, outsource to regions that demand lower salaries
- Postpone major projects and renegotiate contracts
- Prioritize marketing channels with the highest ROI, eliminate dead channels.
- *Be creative*

EXHIBIT

Assessing Europe's potential as a new market.

Tapsta is heavily considering launching in Europe. Before doing so, they want to assess whether they would be able to turn a profit in doing so.

Have the candidate brainstorm revenue and cost items for a short-form video social media app if not already included in the framework.

Then, have the candidate look at the exhibit on the next slide and calculate profitability for first year.

Info to be given on request:

- They are not given the market size of Europe for short-form social media apps. Give them the following info to calculate the projected market size.
  - Assume that European population is 750 million
  - 50% use short-form social media
  - Expect to capture 25% of short-form social media users.
- If asked to define customer acquisition cost, it is just the estimated costs of marketing and partnerships to acquire one user on Tapsta's platform.

EXHIBIT

Revenue and Cost Breakdown (Assuming market is captured)

Revenue Per User	**$15**
Customer Acquisition Cost	**$10**
Regulatory Compliance Cost	**$100 million**
Data Center Capital Expenditure	**$200 million**
Salaries and Payouts	**$100 million**

QUANTITATIVE ANALYSIS

Calculate Market Size:

- 750 million * 50% *25% = ~ 94 million

Calculate Margin per User:

- $15-10 = $5

Revenue - Variable Costs:

- $5 * 94 million = $470 million

Fixed Costs:

- $100 million + $200 million + $100 million = $400 million

Profit:

- $470 million - $400 million = $70 million

CONCLUSION

Final Recommendation

- Tapsta should launch in Europe!
- This venture is profitable, generating around $70 million in profit.
- Adapting their business model and catering to the European market can sidestep restrictions from the U.S.

Potential Risks

- Due to loss of user base, may be short on cash to actually invest in implementation for launch in Europe
- Need to make sure regulations are complied to in Europe to prevent another banning within that region.
- Threat from existing short-form social media players can prevent Tapsta from capturing enough market share.

Next Steps

- Localize promotions/advertising and cater business model to European users
- Create a short-term revenue generation strategy by utilizing existing markets before launching in Europe later on
- *Be creative*

Big Sal’s

UConsulting

05 Big Sal's

FRESHMAN | FINAL ROUND | DIFFICULTY: EASY

PROMPT

Our client is *Big Sal's*, a Southern California sandwich chain that stays open past the usual operating hours of restaurants in its franchise locations. They have been very successful in catering to college students looking for a late night meal, and are thinking about expanding into the bar scene at certain locations near universities. *Big Sal's* needs your help to decide whether they should enter this new chapter in their business.

BEHAVIORALS

CHANGE UP BEHAVIORALS

ADDITIONAL INFO

(ONLY PROVIDED WHEN REQUESTED)

- **Geography:** Has six locations in Southern California, three of which are near UCLA, LMU, and USC.
- **Product Mix:** Primarily serves sandwiches at a premium price, with the majority of sales occurring past midnight
- Already acquired a liquor license, mainly would be competing with the local bars and clubs in the areas.
- Would not be a typical college bar, would resemble more of a pub that serves both food and drinks.
- **Objective** : Turn a profit at the location they convert to a bar.

FRAMEWORK

What are some considerations for Big Sal's when deciding to enter the bar scene?

Local Market for Bars

- Location: is there a large presence of pubs in the locations that Big Sal's wants to convert into bars
- Trends: does it meet market trends?
- Is there an unmet demand for restaurants open late that operate as bars in the potential locations?

Financial Analysis of Big Sal's

- Cost:
  - Physical renovation costs for converted restaurants.
  - Promotion and marketing costs
  - Variable Costs
- Projected Revenue:
  - How much would bar generate in revenue on peak nights

Risks/Capabilities

- Effect on Brand/Image: Would serving drinks alienate existing customers?
- Cannibalization: Would operating bars siphon resources from existing locations that still operate as restaurants?
- Internal Capabilities: do they have capacity to do this?

BRAINSTORMING

What are some potential risks of converting Big Sal’s restaurants into bars?

Market Risks

- **Crowded Market**
  - The bar industry is often highly competitive, especially in nightlife-heavy areas. Standing out among well-established bars could be challenging.
- **Alienation of core customer base**
- **Shift in customer experience, increases friction**

Financial Risks

- **High Upfront Costs**
  - Converting the physical space into a bar may require significant capital investment, including renovations, bar equipment, new licenses, and decor changes.
- **Uncertain Revenue**
  - Alcohol sales can be highly profitable, but success depends on consistent patronage, which may not materialize if the bar fails to attract the target demographic.
- **Regulatory Compliance and Licensing Costs**
- **High Contractual Costs with Liquor Suppliers**

EXHIBIT

Choosing a location to convert to a bar.

Big Sal's has narrowed down its options to two location for a conversion from restaurant to bar: Westwood and Koreatown. Which one should they pick?

Have the candidate look at the exhibit and push for their preliminary thoughts, before they make any calculation.

Candidate should:

- *Notice that renovation costs and revenue differs drastically from the Westwood to Koreatown locations, and make a hypothesis from there.*
- *Recall that the main objective in converting these bars is to achieve profitability, and thus push to find the profitability of each location before deciding which one to choose.*

Candidate then calculates profitability for both of the locations.

EXHIBIT

Location Comparison

	Westwood	Koreatown
Projected Yearly Revenue	$2,000,000	$3,000,000
Supply and Licensing Costs	$100,000	$100,000
Variable Costs	$800,000	$650,00
Renovation Costs	$1,000,000	$2,000,000

QUANTITATIVE ANALYSIS

Profitability for Westwood:
Revenue - Costs = 2 million - 100k - 800k - 1 million
Profit: $100,000

Profitability for Koreatown
Revenue - Costs = 3 million - 100k - 650k - 2 million
Profit: $250,000

Koreatown is more profitable.

CONCLUSION

Final Recommendation

- Final recommendation will vary, most will say that they should go ahead and convert the Koreatown Big Sal’s to a bar. However, they must keep in mind the risks and have good mitigations in their next steps in order to have a strong final recommendation.